Investor Update — 68-100 Old Riverhead Rd

Westhampton Beach, NY · Hildreth Real Estate Advisors · Issued: May 11, 2026

A NOTE FROM THE OPERATOR

I wanted to give you a quick read on where things stand at Westhampton.

The big news: **the multi-unit renovation is almost 100% complete.** Total all-in cost is running in the **$1.5M – $1.7M range** across exterior work, electrical, HVAC, plastering, awnings, asphalt, and the rest of the punch list. The property looks dramatically better, and the leasing momentum is reflecting that — over the last six months we've signed **Hamptons Endoscopy** (a 25-year medical anchor on Unit 74), **Brazilian Jiu Jitsu**, **WHB Nail Spa**, and **Uncle Louie Gees** ice cream. And as of last week, we also signed **Gluckmans on Unit 72C** — a NNN deal at $5,416/mo base, with ten months of free rent to give them time to open.

A few of those leases are in free-rent or half-rent periods right now to give the tenants time to fixturize and ramp up — that's standard, and the rent burns on as we move through summer 2026 and into 2027. By **May 2027**, free rent has fully rolled off on all but the trailing half-rent windows for Hamptons and BJJ. By the end of 2027, every signed tenant is at full contract rent.

What's left:

- Pay out the **Hamptons Endoscopy TI** (three tranches totaling roughly **$200K – $210K**) tied to lease commencement
- Cover the Gluckmans and Hamptons leasing commissions (combined in the **$85K – $95K range**)
- Finish leasing the three remaining vacancies — **Unit 84** (in tours), **Unit 96**, and **Unit 100** — for which we've reserved budget at ~$20/SF TI+LC each
- Wrap up small site items — rear parking lot repave, exterior signage, plumbing
- Negotiate the **Chinatown Restaurant renewal** at $6,000/mo NNN (currently $3,858); we're in active discussions

Once stabilized, we believe the property should support a **valuation in the $12M – $14M range** based on current Long Island commercial retail cap rates, with a corresponding step-up in equity value. The detail behind that range — rent roll, CapEx, forward leasing, and the stabilized NOI build — is in the report that follows.

— Jason

Hildreth Real Estate Advisors

The valuation reflected in the attached report is an internal management estimate based on stabilized NOI and prevailing market cap rates as of the date issued. Actual market value will depend on capitalization rates, lender environment, tenant performance, and broader economic conditions at the time of any sale or refinance — all of which can change. Numbers are illustrative, not an appraisal or offer.

1. Current Rent Roll (2026-05-11)

Unit	Tenant	SF	Base Rent	CAM	Loaded (Scheduled)	Billable Now	Lease End	Status
68	Chinatown Restaurant	910	$3,418	$440	$3,858	$3,858	2027-03-31	Current
70A	Brazilian Jui Jitsu	2,020	$7,500	$1,325	$8,825	$1,325	2026-05-31	Free Rent
70B	Whb Nail Spa AKA Verdigrow LLC	1,260	$4,250	$552	$4,802	$4,802	2030-11-30	Current
72A	Uncle Louie Gees	650	$3,500	$425	$3,925	$3,925	2027-02-28	Current
72C	Gluckmans	1,324	$5,416	$600	$6,016	$600	2031-05-10	Free Rent
74	Hamptons Endoscopy	4,500	$15,746	$3,750	$19,496	$3,750	2051-03-31	Free Rent
78	Sherwin-Williams	3,934	$10,833	$1,630	$12,464	$12,464	2033-06-04	Current
82	Edible Arrangments	1,514	$3,262	$123	$3,385	$3,385	2029-11-30	Current
84	*Vacant*	624	—	—	—	—	—	VACANT
86	Tonino's Gourmet Pizza	1,565	$1,500	$1,000	$2,500	$2,500	2032-02-28	Current
90	Tonino's Gourmet Pizza	1,813	$7,010	$235	$7,245	$7,245	2028-02-28	Current
92	Beer Boss and Smoke Shop	1,870	$3,605	$10	$3,615	$3,615	2033-05-06	Current
96	*Vacant*	854	—	—	—	—	—	VACANT
98	Whitney's Deli	1,277	$5,191	$128	$5,319	$5,319	2033-03-31	Current
100	*Vacant*	1,318	—	—	—	—	—	VACANT
Total — 12 of 15 units leased		**22,637 / 25,433**	**$71,232**	**$10,219**	**$81,450**	**$52,788**	**89.0% leased**	

"Scheduled" = stabilized contractual base + CAM. "Billable Now" reflects active free-rent / half-rent periods (Hamptons Endoscopy and Brazilian Jui Jitsu currently in free rent).

2. CapEx To Date

The multi-unit renovation program is **almost 100% complete**, with only minor punch-list items remaining. Full GL audit (5/7/2026) confirms total renovation spend across all accounts:

9xxx P&L CapEx	$1,133,205
1xxx Fixed-Asset Improvements	$246,719
6xxx Opex Reclassified to CapEx	$284,017
Renovation Program — Total Spent	**$1,664,941**

All CapEx Activity

Project	Category	Status	Spent	Date
Active renovation program (multi-unit)	Building Improvement	COMPLETED	$1,664,941	2026-04-30
Total CapEx Spent To Date			**$1,664,941**	

Primary vendors: Long Island Construction Plus, James Arnold (GC), Cherokee Contracting, South Fork Asphalt, Wayside Construction, EF Malonie (electrical), Awning Concept, Gatto Plastering, Anthony Portillo, RC Stucco, DMG Duct (HVAC), P.W. Grosser (engineering).

3. Remaining CapEx

Total Remaining CapEx Budget: $453,920

Near-Term Committed (Leases In Flight)

Project	Unit	Priority	Status	Target	Remaining
Hamptons Endoscopy — Leasing Commission	74	HIGH	IN_PROGRESS	2026-05-15	$70,020
Hamptons Endoscopy — TI tranche 1 of 3 (50%)	74	HIGH	IN_PROGRESS	2026-05-15	$102,490
Hamptons Endoscopy — TI tranche 2 of 3 (25%)	74	HIGH	PLANNED	2026-08-15	$51,245
Hamptons Endoscopy — TI tranche 3 of 3 (25%)	74	HIGH	PLANNED	2026-10-15	$51,245
Gluckmans — leasing commission (no buildout)	72C	HIGH	IN_PROGRESS	2026-05-11	$18,000
Brazilian Jiu Jitsu — build-out	70A	HIGH	IN_PROGRESS	2026-09-01	$20,000
Uncle Louie Gees Ice Cream — build-out	72A	MEDIUM	PLANNED	2026-09-01	$30,000
Plumbing — new septic system for new building	—	HIGH	PLANNED	—	$10,000
Near-Term Committed (Leases In Flight) subtotal					**$353,000**

Tenant Improvement / LC Reserves (Vacant Units)

Project	Unit	Priority	Status	Target	Remaining
Unit 84 — TI + LC reserve	84	MEDIUM	PLANNED	—	$12,480
Unit 96 — TI + LC reserve	96	MEDIUM	PLANNED	—	$17,080
Unit 100 — TI + LC reserve	100	MEDIUM	PLANNED	—	$26,360
Tenant Improvement / LC Reserves (Vacant Units) subtotal					**$55,920**

Site Work & Building Improvements

Project	Unit	Priority	Status	Target	Remaining
Rear parking lot	—	MEDIUM	PLANNED	—	$30,000
Exterior signs	—	MEDIUM	PLANNED	—	$15,000
Site Work & Building Improvements subtotal					**$45,000**

4. Rent Roll — 1 Year Forward (May 2027)

Projected Monthly Loaded Rent (May 2027): $72,565 vs. $52,788 billable today (**+$19,777/mo**)

Unit	Tenant	SF	Base Rent	CAM	Loaded	Status
68	Chinatown Restaurant [Chinatown Restaurant]	910	$6,000	$596	$6,596	Negotiating Renewal
70A	Brazilian Jui Jitsu	2,020	$3,750	$1,325	$5,075	half_rent
70B	Whb Nail Spa AKA Verdigrow LLC	1,260	$4,250	$552	$4,802	occupied
72A	Uncle Louie Gees	650	$3,500	$425	$3,925	holdover
72C	Gluckmans [Gluckmans]	1,324	$5,416	$600	$6,016	Signed New Lease
74	Hamptons Endoscopy	4,500	$7,873	$3,750	$11,623	half_rent
78	Sherwin-Williams	3,934	$10,833	$1,630	$12,464	occupied
82	Edible Arrangments	1,514	$3,262	$123	$3,385	occupied
84	*Vacant*	624	—	—	—	Touring — pipeline
86	Tonino's Gourmet Pizza	1,565	$1,500	$1,000	$2,500	occupied
90	Tonino's Gourmet Pizza	1,813	$7,010	$235	$7,245	occupied
92	Beer Boss and Smoke Shop	1,870	$3,605	$10	$3,615	occupied
96	*Vacant*	854	—	—	—	vacant
98	Whitney's Deli	1,277	$5,191	$128	$5,319	occupied
100	*Vacant*	1,318	—	—	—	vacant
Forward Total — 12 of 15 units leased		**22,637 / 25,433**			**$72,565**	**89.0% leased**

Assumptions: Hamptons Endoscopy half-rent through 10/15/2027 (still half rent in May 2027 → $7,873 base + $3,750 CAM). Brazilian Jiu Jitsu half-rent through 9/1/2027 (still half rent in May 2027 → $3,750 + $1,325 CAM). Gluckmans (LOI accepted, Unit 72C): 10-month free rent from 5/15/2026 ends 3/15/2027 → full rent in May 2027 ($5,416 + ~$600 CAM). Chinatown renewal (LOI sent, Unit 68): new lease commences 4/1/2027 at $6,000 NNN; 6 months free in "winter for tenant renovation" — May is outside winter so full rent assumed. Units 84, 96, 100 shown at current vacant / pipeline status; not yet under firm contract.

5. Proforma — Fully Occupied (Stabilized)

Assumes every unit is leased at its stabilized contract rent (or, for vacant units, at the in-flight prospect rent). No free-rent or half-rent discounts.

Unit	Tenant	SF	Stabilized Rent	CAM	Loaded	Source
68	Chinatown Restaurant	910	$6,000	$596	$6,596	Negotiating Renewal
70A	Brazilian Jui Jitsu	2,020	$7,500	$1,325	$8,825	In Place
70B	Whb Nail Spa AKA Verdigrow LLC	1,260	$4,250	$552	$4,802	In Place
72A	Uncle Louie Gees	650	$3,500	$425	$3,925	Signed New Lease
72C	Gluckmans	1,324	$5,416	$600	$6,016	Signed New Lease
74	Hamptons Endoscopy	4,500	$15,746	$3,750	$19,496	In Place
78	Sherwin-Williams	3,934	$10,833	$1,630	$12,464	In Place
82	Edible Arrangments	1,514	$3,262	$123	$3,385	In Place
84	TBD	624	$3,500	—	$3,500	Prospect
86	Tonino's Gourmet Pizza	1,565	$1,500	$1,000	$2,500	In Place
90	Tonino's Gourmet Pizza	1,813	$7,010	$235	$7,245	In Place
92	Beer Boss and Smoke Shop	1,870	$3,605	$10	$3,615	In Place
96	TBD	854	$4,000	$559	$4,559	Stabilized Assumption
98	Whitney's Deli	1,277	$5,191	$128	$5,319	In Place
100	TBD	1,318	$5,000	$863	$5,863	Stabilized Assumption
Stabilized Total		**25,433**	**$86,314**	**$11,796**	**$98,110**	

Stabilized NOI

Stabilized Revenue	$1,186,359
Stabilized Operating Expenses	($202,383)
Stabilized NOI	**$983,975**

Valuation Range

Cap Rate	Valuation	Per SF
6.5% (Low Cap → High Value)	$15,138,082	$595
7.0% (Mid)	**$14,056,790**	**$553**
7.5% (High Cap → Low Value)	$13,119,671	$516

Total Equity Invested To Date

Land	$620,000
Buildings	$5,580,000
Closing Costs & Holdbacks	$1,127,267
Furniture, Fixtures & Equipment	$12,000
Subtotal — Acquisition Basis	**$7,339,267**
Renovation CapEx (all-in: 9xxx + 1xxx + 6xxx reclass)	$1,651,940
Total All-In Project Basis	**$8,991,207**
Less: 1st Mortgage Outstanding	($5,000,000)
Total Equity Invested To Date	**$3,991,207**

Closing Costs & Holdbacks combines acquisition closing costs, mortgage / refinance closing fees, and due-diligence holdbacks.

Implied Equity & Return on Investment

Valuation @ 7.0% (Mid)	$14,056,790
Less: 1st Mortgage Principal	($5,000,000)
Implied Equity Value (Today)	**$9,056,790**
Cash Distributions Paid To Investors (To Date)	—
Less: Total Equity Invested To Date	($3,991,207)
Less: Upcoming CapEx to Stabilize (planned + in-progress)	($453,920)
Total Equity at Stabilization	**$4,445,127**
Unrealized Gain + Distributions vs. All-In	**$4,611,663**
Equity Multiple at Stabilization (Mid)	**2.04x**

No distributions have been made to investors during the active renovation phase — all cash has been retained for the renovation program and operating reserves. Distributions are expected to commence after stabilization (free-rent burn-off + Hamptons full-rent commencement).

Multiple Calculations (PE/RE Standard Metrics)

Multiple	Value	Definition
DPI — Distributions / Paid-In	**0.00x**	Cash already returned to investors per $1 contributed
RVPI — Residual Value / Paid-In	**2.27x**	Unrealized equity value per $1 contributed
TVPI (MOIC) — Total Value / Paid-In	**2.27x**	**Total value (distributions + residual) per $1 contributed**

Cap rate range reflects current Long Island commercial retail market (6.5% – 7.5%). Lower cap rate = higher valuation. Stabilized opex excludes $287,062 of one-time addbacks (renovation-related design fees, construction management, leasing expense, legal — all rolled into the renovation program total in Section 2).

6. T-12 Cash Flow Statement (Apr 2025 – Mar 2026)

Month	Revenue	Operating Expenses	NOI	CapEx	Debt Service	Net Cash Flow
Apr 2025	$28,506	($20,892)	$7,614	($16,401)	($49,375)	$-58,162
May 2025	$47,114	($30,860)	$16,254	(—)	($32,708)	$-16,454
Jun 2025	$30,150	($28,394)	$1,757	($385)	($49,375)	$-48,003
Jul 2025	$30,150	($26,877)	$3,273	($8,750)	($32,708)	$-38,185
Aug 2025	$45,897	($2,462)	$43,435	($49,230)	($32,708)	$-38,503
Sep 2025	$55,078	($10,805)	$44,273	($290,094)	($32,708)	$-278,530
Oct 2025	$32,900	($60,711)	$-27,811	($399,309)	($32,708)	$-459,827
Nov 2025	$42,614	($17,306)	$25,308	($167,295)	($32,708)	$-174,696
Dec 2025	$43,037	($37,426)	$5,611	($86,093)	($32,708)	$-113,190
Jan 2026	$80,428	($120,582)	$-40,154	($20,767)	($32,708)	$-93,629
Feb 2026	$40,028	($42,025)	$-1,997	($43,342)	($32,708)	$-78,048
Mar 2026	$35,435	($61,499)	$-26,064	($3,422)	($32,708)	$-62,195
T-12 Total	**$511,338**	**($459,839)**	**$51,499**	**($1,085,089)**	**($425,833)**	**$-1,459,423**

Cash-basis as recorded in the General Ledger. **Revenue** includes base rent + CAM + reimbursements. **CapEx** includes all renovation spend (9xxx P&L + 1xxx fixed-asset + 6xxx reclassified opex). **Net Cash Flow** = NOI − CapEx − Debt Service and represents cash available to investors before distributions / reserves. The active renovation drove the negative cash-flow months — that program is now almost complete and the run-rate is expected to normalize as free-rent periods burn off.